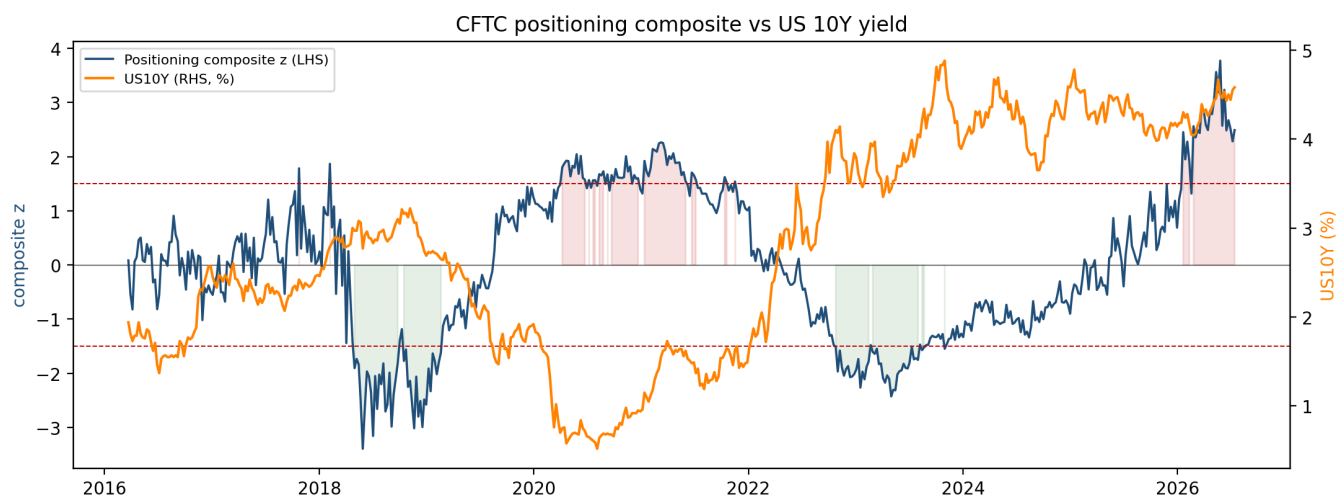


US Treasury Positioning & the 10Y Yield

A CFTC-positioning crowding study + a dynamic US10Y ARIMA forecaster — free-data, reproducible.

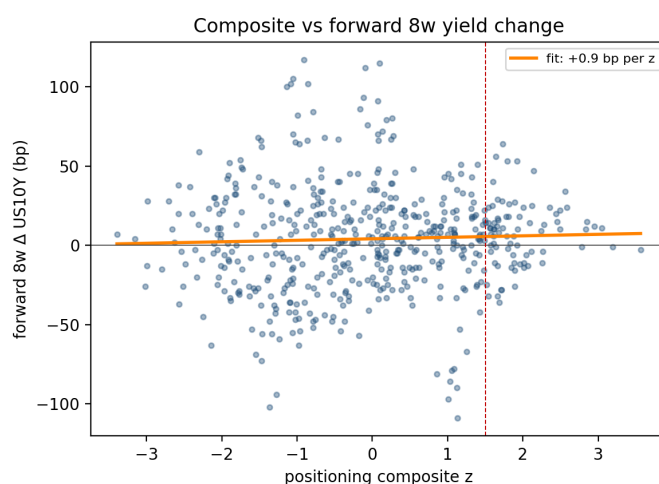
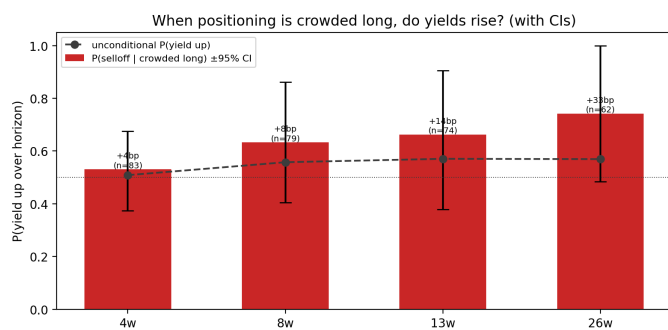
1. What positioning measures & where we are

We convert CFTC Traders-in-Financial-Futures net positions (TU/FV/TY/TN/US/UB) into DV01, aggregate by trader type, z-score, and reduce to a PCA composite crowding index (+ = crowded net *long* duration). As of **2026-07-14** the composite is **+2.49** — a multi-year *crowded-long* extreme, driven by asset managers (long the long end) with dealers mirror-short.



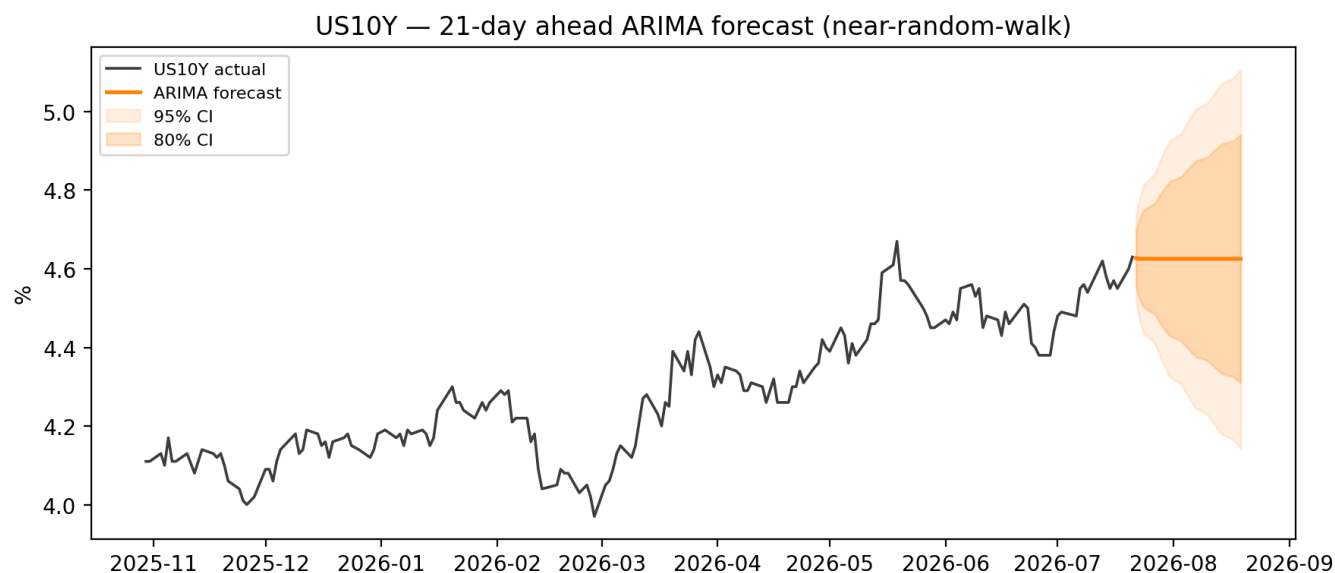
2. Does crowded positioning precede higher yields? (the honest answer)

Directionally *yes, weakly*: at crowded-long extremes ($z > 1.5$) the 10Y rose over the next 4/8/13/26w with probability 0.53/0.63/0.66/0.74 (vs unconditional 0.51/0.56/0.57/0.57), mean Δy +8bp (8w) rising to +33bp (26w). **But it is not statistically robust**: 95% bootstrap CIs include 0.5 at every horizon (e.g. 13w [0.38, 0.91]), Granger causality is insignificant (min $p \approx 0.80$), and forward-return regressions are weak (13w $t = +0.66$, $R^2 = 0.005$; 26w $t = +1.12$). The effect is **asymmetric** — fading crowded *longs* works, fading crowded *shorts* does not — and rests on few independent episodes.



3. Dynamic US10Y forecast — simple ARIMA(0, 1, 2)

DGS10 is $I(1)$ (ADF level $p=0.32$, diff $p<0.01$). A recursive walk-forward ARIMA(0, 1, 2) gives one-step OOS RMSE **0.049** vs a random walk 0.049 (ratio 0.999; Diebold–Mariano $p=0.62$) — i.e. **statistically indistinguishable from a random walk**, as expected for yields. Adding the positioning composite as an exogenous regressor (ARIMAX, weekly) does **not** help out-of-sample (RMSE ratio 0.999, DM $p=0.80$). Latest level 4.63%; 21-day point forecast 4.63% (essentially flat).



Bottom line

Positioning is a strong *descriptive* crowding gauge and currently flags a stretched long-duration market whose modest historical tendency is toward higher yields over 1–6 months — but the predictive edge is weak and not statistically significant, and neither ARIMA nor positioning beats a random walk for point-forecasting the 10Y. Use positioning for context and risk framing, not as a standalone yield forecast.

Sources: CFTC TFF (gpe5-46if), FRED DGS10/DGS2. Causal (publication-lagged) composite; block-bootstrap CIs; expanding-window OOS. Reproduce: `python -m rates_study.run --report`.